Income Tax

We are organized as a pass-through entity for federal income tax purposes and therefore are not subject to federal or certain state income taxes. As a result, our partners are responsible for federal income taxes based on their respective share of taxable income. Net income for financial statement purposes may differ significantly from taxable income reportable to unitholders as a result of differences between the tax basis and financial reporting basis of assets and liabilities and the taxable income allocation requirements under the partnership agreement.

Technical Termination of the Partnership for U.S. Federal Income Tax Purposes

In 2015, the Partnership experienced a technical termination as a result of the Transaction, which also resulted in a technical termination of Ciner Wyoming, for U.S. federal income tax purposes.

The technical termination did not affect our consolidated financial statements nor did it affect our classification or Ciner Wyoming's classification as a partnership or otherwise affect the nature or extent of our "qualifying income" for U.S. federal income tax purposes. Our 2015 taxable year for all then unitholders ended on October 23, 2015 and resulted in a deferral of depreciation deductions that were otherwise allowable in computing the taxable income of our unitholders. This deferral of depreciation deductions resulted in an increased taxable income (or reduced taxable loss) to certain of our unitholders in 2015. We did not view this deferral of depreciation deductions to have had a material adverse impact on our public common unitholders.

As of December, 31, 2017, the Partnership has not participated in any transactions or experienced a sale or exchange of 50% or more of the total interest in our capital and profits interests within a twelve-month period.